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County: los-angeles

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Case Number: 25STCV19412 Hearing Date: July 21, 2026 Dept: 730

Superior Court of California

County of Los Angeles

Department 730

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TREVOR WILLIAMS, et al.,

Plaintiffs,

vs.

FORD MOTOR COMPANY., et al.

Defendants.

Case No.:

25STCV19412

Hearing Date:

July 21, 2026

ORDER OVERRULING DEMURRER TO FIRST AMENDED COMPLAINT

I. BACKGROUND

On September 16, 2018, Plaintiffs Trevor Williams (“Trevor”) and Lydia Williams ("Lydia") entered into a warranty contract with Defendant Ford Motor Company (“Ford”) regarding a 2022 Ford F-150 (“subject vehicle”). The subject vehicle allegedly has defects and nonconformities making the car effectively worthless. Ford has failed to replace the vehicle or reimburse Plaintiffs. Plaintiffs sued Ford and Defendant Walnut Creek Ford (“WC”) for six causes of action including negligent repair and fraudulent inducement – concealment.

On February 4, 2026, Defendants filed the instant demurrer as to Plaintiffs’ first amended complaint’s (“FAC”) fifth and sixth causes of action for negligent repair and fraudulent inducement – concealment. Plaintiffs opposed. Defendants replied.

II. REQUEST FOR JUDICIAL NOTICE

Defendants request that the Court take judicial notice of the original complaint in this action. The Court GRANTS this request for judicial notice.

III. LEGAL STANDARD

Code of Civil Procedure section 430.10 states1: “The party against whom a complaint or cross-complaint has been filed may object, by demurrer or answer as provided in Section 430.30, to the pleading on any one or more of the following grounds: (a) The court has no jurisdiction of the subject of the cause of action alleged in the pleading; (b) The person who filed the pleading does not have the legal capacity to sue; (c) There is another action pending between the same parties on the same cause of action; (d) There is a defect or misjoinder of parties; (e) The pleading does not state facts sufficient to constitute a cause of action; (f) The pleading is uncertain. As used in this subdivision, uncertain includes ambiguous and unintelligible; and (g) In an action founded upon a contract, it cannot be ascertained from the pleading whether the contract is written, is oral, or is implied by conduct.”

As a general matter, in a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) “A demurrer tests the pleading alone, and not the evidence or facts alleged.” (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint’s properly pleaded or implied factual allegations. (Ibid.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.)

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (Ibid.; Lewis v. YouTube, LLC (2015) 244 Cal.App.4th 118, 226.) However, “[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend.” (Youngman v. Nevada Irrigation Dist. (1969) 70 Cal.2d 240, 245).

IV. DISCUSSION

Defendants request the Court sustain the demurrer as to the fifth and sixth causes of action as the FAC is a sham pleading, the fraud cause of action is insufficiently pled, and both causes of action are barred by the economic loss rule.

A. Sham Pleading

Defendants first argue the FAC is a sham pleading, and thus should be subject to demurrer, as Plaintiffs' original complaint "pleads an entirely different defect than their amended complaint." (Mot., p. 6 ¶¶ 13-14.) "Under the sham pleading doctrine, allegations in an original pleading that rendered it vulnerable to demurrer or other attack cannot simply be omitted without explanation." (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 751.) "The purpose of the doctrine is to enable the courts to prevent an abuse of process." (Id.) "The doctrine is not intended to prevent honest complainants from correcting erroneous allegations or to prevent the correction of ambiguous facts." (Id.)

Defendants argue that, because the initial complaint pled the 'Engine Defect' as the basis for the fraudulent inducement cause of action, and the FAC pleads the 'Transmission Defect' as the basis for the same cause of action, this constitutes a sham pleading. (Complaint ¶ 53; FAC ¶ 94.)

In reviewing the initial complaint, in full, the Court finds the fraudulent inducement cause of action was clearly not limited to only the 'Engine Defect'. The complaint states the Engine Defect is intended to encapsulate defects of the "3.5L engine and/or its related components," that causes unsafe conditions such as affecting a driver's ability to control the vehicle. (Complaint ¶¶ 53, 54.) The 'Transmission Defect' concerns the related part of the transmission, which can similarly be dangerous to consumers due to unexpected effect on a driver's ability to control a vehicle. (FAC ¶¶ 95.) The changes do not reflect an abuse of process undertaken simply to avoid demurrer, but rather the correction of either erroneous or ambiguous allegations with additional detail to better allow Defendants to defend against Plaintiffs' claims. The demurrer is OVERRULED as to this argument.

B. Fraudulent Indument – Concealment

Ford first demurrers to the sixth cause of action for Fraudulent Inducement – Concealment for failure to allege facts sufficient to state the cause of action, pursuant to section 430.10, subd. (e). "The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would have acted differently if the concealed or suppressed fact was known; and (5) the plaintiff sustained damage as a result of the concealment or suppression of the material fact." (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 40.)

1. Specificity

Ford argues Plaintiffs fail to allege, with particularity the allegedly concealed defect, as Plaintiffs do not state the exact details of the defect. California's fact pleading standard requires the plaintiff to plead with sufficient specificity to "furnish the defendant with certain definite charges which can be intelligently met." (Committee on Children's Television, Inc. v. General Foods Corp. (1985) 35 Cal.3d 197, 216.) The specificity requirement is relaxed when, from the nature of the allegations, it appears "the defendant must necessarily possess full information," or "when the facts lie more in the knowledge of the opposing parties." (Alfaro v. Community Housing Improvement System & Planning Assn., Inc. (2009) 171 Cal.App.4th 1356, 1384-85, internal quotations omitted; Tarmann v. State Farm Mutual Auto-Mobile Ins. Co. (1992) 2 Cal.App.4th 153, 158.) Details are to be the subject of discovery. (See Alfaro, supra, at 1385.)

Ford specifically cites to Santana v. FCA US LLC (2020) 56 Cal.App.5th 334, 345. In Santana, the court overruled a jury ruling finding defendant car warranty provider liable for fraudulent concealment, as there was insufficient evidence said defendant was aware of defects prior to the plaintiff purchasing the vehicle. (Id. at 338.) The court held defendant could not be liable absent evidence that, prior to purchase of the vehicle, defendant was aware of the defect and was either unwilling or unable to fix it. (Id. at 345-346.) The Court finds Santana unrelated to the issues presented on demurrer. Santana addresses the evidentiary burden to impose liability for fraudulent concealment; demurrer tests whether sufficient facts have been alleged within the complaint to present a viable cause of action. Santana also does not address the existence of a defect, but rather whether the defendant was aware of the defect.

Here, Plaintiffs' cause of action for fraudulent inducement specifically identifies the subject vehicle's 10-speed transmission suffer from defects that can result "hesitation and/or delayed acceleration; harsh and/or hard shifting; jerking, shuddering, and/or juddering." (FAC ¶ 95.) The FAC further alleges Ford knew or should have known about these engine defects due to internal data, repair orders, testing and other internal sources. (FAC ¶ 96.) Plaintiffs asserted a general problem—the subject vehicle's transmission—of which Ford would have superior knowledge of facts regarding defects. Plaintiffs also alleged where Ford would obtain said superior knowledge. Further details are the subject of discovery. Plaintiffs sufficiently alleged concealment or suppression of a material fact.

2. Duty to Disclose

Ford next argues Plaintiffs failed to allege Ford had a legal duty to disclose the alleged defect. Nondisclosure or concealment may constitute actionable fraud in four circumstances: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; or (4) when the defendant makes partial representations but also suppresses some material fact." (LiMandri v. Judkins (1997) 52 Cal.App.4th 326, 336.) A duty to disclose may also arise when a defendant possesses or exerts control over material facts not readily available to the plaintiff. (Jones v. ConocoPhillips Co. (2011) 198 Cal.App.4th 1198, 1199.)¿¿

Ford claims, in part, Ford had no duty to disclose as Ford had no fiduciary relationship with Plaintiffs. Ordinarily, a duty to disclose absent a fiduciary relationship "presupposes the existence of [a] relationship between the plaintiff and defendant in which a duty to disclose can arise." (Bigler-Engler v. Breg, Inc. (2017) 7 Cal.App.5th 276, 311.) However, a vendor has a duty to disclose material facts "not only to immediate purchasers, but also to subsequent purchasers when the vendor has reason to expect that the item will be resold." (OCM Principle Opportunities Fund v. CIBC World Markets Corp. (2007) 157 Cal.App.4th 835, 859-860.) The duty to disclose to subsequent purchasers is limited: the plaintiff must show that the seller had special "reason to expect" that the fraud will be passed onto subsequent purchasers. (Geernaert v. Mitchell (2007) 31 Cal.App.4th 601, 607-608.) Mere foreseeability is insufficient. (Id. [citing Restatement (Second) of Torts § 305, cmt. d (1977)].) In determining whether the seller had "reason to expect" that the fraud will be passed onto subsequent purchasers, courts generally consider two factors: "(1) the extent of the seller's knowledge of resale to a particular person or class of persons and (2) the likelihood that the particular misrepresentation (or concealment) would be passed on to them." (Id. at 608.)

Here, the FAC alleges Ford manufactured and/or distributed the subject vehicle, which Plaintiffs purchased from Ford's authorized dealer. (FAC ¶¶ 7, 9.) In addition, the FAC alleges "FORD acquired its knowledge of the Transmission Defect prior to Plaintiffs acquiring the Subject Vehicle, through sources not available to consumers such as Plaintiffs, including but not limited to pre-production and post-production testing data, early consumer complaints about the transmission defect made directly to FORD and its network of dealers, aggregate warranty data compiled from FORD's network of dealers, testing conducted by FORD in response to these complaints, as well warranty repair and part replacements data received by FORD from FORD's network of dealers, amongst other sources of internal information." (FAC ¶ 96.) The FAC also alleges Ford and Ford's delerships concealed the defects and minimized the scope of the defects to drivers or potential purchasers. (FAC ¶ 61.) Plaintiffs sufficiently alleged facts showing Ford had a reasonable expectation the fraud would be passed to subsequent purchases. The pleadings have adequately pled Ford's duty of disclosure.

Plaintiffs' FAC adequately pleads facts to support a cause of action for fraudulent inducement – concealment.

3. Economic Loss Doctrine

Ford also demurrers to the sixth cause of action for Fraudulent Inducement – Concealment on the basis that the economic loss doctrine bars the cause of action, as Plaintiffs did not allege any damages to person or property sustained from violation of duty beyond the scope of the contract. The economic loss rule provides a purchaser of a product that does not live up to the buyer's expectations can only recover in contract and not tort, unless "[the purchaser] can demonstrate harm above and beyond a broken contractual promise." (Food Safety Net Services v. Eco Safe Systems USA, Inc.¿(2012) 209 Cal.App.4th 1118, 1130 (quoting¿Robinson Helicopter Company, Inc. v. Dana Corporation¿(2004) 34 Cal.4th 979, 988).) Conduct constituting a breach of contract may become tortious if it also violates a duty independent of the contract arising from principles of tort law or arises from conduct that is both intentional and intended to harm. (Robinson Helicopter, supra, at 990.) A tort claim for fraud must be sufficiently independent from a breach of contract claim for which the plaintiff suffered economic loss. (Id.¿at p. 991.)¿¿

Although non-binding, Dhital v. Nissan North America (2022) 84 Cal.App.5th 828 is insightful. In Dhital, plaintiffs sued Nissan, a car manufacturer, for Song-Beverly violations and fraudulent inducement. Plaintiffs alleged the transmission was faulty, placing Plaintiffs at risk of physical harm. (Id. at 834.) However, at no point did the plaintiffs allege any personal injury or property damage. (Ibid.) Plaintiffs alleged Nissan concealed defects it had a duty to disclose to induce the purchase. The appellate court held that the fraudulent inducement claim was not barred by the economic loss doctrine:

“To hold, at the demurrer stage, that plaintiffs’ fraud claim is barred by the economic loss rule, we would need to conclude, as Nissan urges us to do, that (1) despite the Supreme Court's statement in Robinson, there is no exception to the economic loss rule for fraudulent inducement claims (or at least no exception that encompasses the claim plaintiffs allege in the SAC), or (2) plaintiffs have not adequately pleaded a claim for fraudulent inducement under California law (a question we address in pt. II.C., post). We reject both arguments and conclude the economic loss rule does not bar plaintiffs’ claim.” (Id. at 839.)

Here, the Court also has no basis to stray from the Supreme Court’s Robinson ruling that there are exceptions to the economic loss rule for at least some fraudulent inducement claims. (See Robinson, supra, at 989-990.) The Court has concluded Plaintiffs adequately pled a claim for fraudulent inducement under California law. As there exists an independent basis, outside of breach of contract or warranty, for Plaintiffs to pursue this cause of action, the Court finds it is not barred by the economic loss rule.

C. Negligent Repair

WC argues the fifth cause of action for negligent repair should be subject to demurrer as the economic loss rule bars Plaintiffs’ claim. Application of the economic loss rule to claims for negligent repair is highly dependent on the particular allegations of the complaint. (See, e.g., Rattagan v. Uber Techs., Inc. (2024) 17 Cal.5th 1, 44 [“The doctrine does not apply if defendant's breach caused physical damage or personal injury beyond the economic losses caused by the contractual breach and defendant violated a duty flowing, not from the contract, but from a separate, legally recognized tort obligation.”]; North American Chemical Co. v. Superior Court (1997) 59 Cal.App.4th 764, 785, 787 [to avoid the economic-loss rule’s bar of damages for tort claims, plaintiffs can be non-contracting parties, contracting parties showing property damage, or contracting parties for services as distinguished from products]; Mills v. Forestex Co. (2003) 108 Cal.App.4th 625, 636 [“Purely economic losses, e.g., the cost to repair or replace the defective product, are recoverable only under contract or warranty law.”].)

Here, Plaintiffs allege WC failed, in part, to “properly store [and] prepare” the subject vehicle. (FAC ¶ 86.) Storage and preparation of the subject vehicle is outside the scope of the warranty contract. (FAC ¶ 8, Ex. A.) As Plaintiffs have alleged breaches of duty outside the scope of the subject contract, the economic loss rule does not bar Plaintiffs’ cause of action for negligent repair.

V. CONCLUSION

Defendants’ demurrer to Plaintiffs’ First Amended Complaint is OVERRULED.

Plaintiffs are ordered to give notice.

DATED: July 21, 2026

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Hon. Alexander C.D. Giza

Judge of the Superior Court

PLEASE TAKE NOTICE:

- Parties are encouraged to meet and confer after reading this tentative ruling to see if they can reach an agreement.

- If a party intends to submit on this tentative ruling, the party must send an email to the court at with the Subject line “SUBMIT” followed by the case number. The body of the email must include the hearing date and time, counsel’s contact information, and the identity of the party submitting.

- Unless all parties submit by email to this tentative ruling, the parties should arrange to appear remotely (encouraged) or in person for oral argument. You should assume that others may appear at the hearing to argue.

- If the parties neither submit nor appear at hearing, the Court may take the motion off calendar or adopt the tentative ruling as the order of the Court. After the Court has issued a tentative ruling, the Court may prohibit the withdrawal of the subject motion without leave.